



EXAMINATIONS COUNCIL OF ESWATINI
Eswatini General Certificate of Secondary Education

CANDIDATE
NAME

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CENTRE
NUMBER

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CANDIDATE
NUMBER

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ECONOMICS

6899/01

Paper 1

SPECIMEN PAPER 2027-2029

2 hours

Candidates answer on the Question Paper.
Additional material: calculator

READ THESE INSTRUCTIONS FIRST

Write your candidate name, centre number and candidate number in the spaces provided.

Write in dark blue or black pen.

You may use a soft pencil for any diagrams, graphs or rough working.

Do **not** use staples, paper clips, highlighters, glue or correction fluid.

Answer **all** questions in Section A, B and C.

Section A has **ten** multiple-choice questions. For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the one you consider correct and write the letter in the box to indicate the correct answer.

The number of marks is given in brackets [] at the end of each question or part question.

For Examiner's Use	
Section A	
Section B	
Section C	
Total	

This document consists of **12** printed pages.

Section A

Answer **all** questions.

- 1 What is likely to solve the problem of 'how to produce' in a command economy?
A customers' wishes
B demand and supply
C government directives
D private sector ☐ [1]
- 2 What is the best description of the term productivity?
A an activity that changes raw material into finished goods
B an activity that makes and sells products through productive effort
C an activity that measures the profit of finished goods
D an activity that measures the effectiveness of productive effort ☐ [1]
- 3 Which of the following will be classified as an invisible import to Eswatini?
A Eswatini resident flying to South Africa for a medical procedure
B clothes donation from the UK to Eswatini
C loan to Lesotho from Eswatini
D purchase of cell phones from China by Eswatini ☐ [1]
- 4 What factor is **most** likely to be found in a developing country?
A low percentage of very old people
B small average family size
C high expenditure on entertainment
D high education sector ☐ [1]
- 5 What shows a recession in an economy?
A a decrease in exports
B a decrease in population
C a decrease in real GDP
D a decrease in the price level ☐ [1]
- 6 The price elasticity of demand of a product is 2. When the price is E30, quantity demanded is 10 000 units. How many units will be demanded when the price falls to E24?
A 6 000 units
B 11 000 units
C 14 000 units
D 15 000 units ☐ [1]

- 7** Khayaletu grows flowers in his garden that he offers for sale. The flowers attract butterflies and bees.

Which is an internal cost in this situation?

- A** Neighbours being stung by bees that pollinate the flowers.
- B** Neighbours buying flowers from Khayaletu.
- C** Neighbours enjoying a nice smelling air from the flowers.
- D** Neighbours watching the activity of wildlife.

☐

[1]

- 8** Why are nurses paid less than doctors?

- A** They are less qualified.
- B** They have a high demand for their services.
- C** They travel shorter distances
- D** They work for longer hours.

☐

[1]

- 9** How would a fall in interest rates affect household saving and expenditure?

	Saving	Expenditure
A	fall	fall
B	fall	rise
C	rise	rise
D	rise	fall

☐

[1]

- 10** Which is a variable cost of production?

- A** depreciation of machinery
- B** insurance premiums
- C** interest on loan
- D** purchase of raw material

☐

[1]

Section BAnswer **all** questions.**1** List **three** functions of a central bank.

(i)

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(ii)

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(iii)

..... [3]

2 Explain **two** factors that influence a company's share price.

(i)

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(ii)

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..... [4]

3 Analyse how changes in price would affect revenue for a good with an inelastic demand.

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..... [4]

4 Describe **two** disadvantages of a monopoly.

(i)

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(ii)

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..... [4]

5 Describe how a quota differs from a tariff.

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..... [4]

[illegible]

..... [1]

..... [1]

..... [1]

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Section C

For
Examiner's
UseAnswer **all** questions.**1 CORPORATE PROSPECTS**

The Ministry of Commerce has created corporate opportunities to Pholaland people through having an undertaking with a number of countries to supply them with a variety of products. One of the countries that has offered an opportunity to the country is China, which has required Pholaland to supply 200 different products. This initiative will create a number of job opportunities in the country. The Minister said this was in line with the Government's mission to diversify markets and products produced in the country.

The Minister commented that the country was working in the diversification of local products through bringing different investors to the country, which would also expand the export market. It is believed that diversification of the markets would improve the country's foreign reserves and strengthen the country's currency, the Phola, while improving the gross domestic product (GDP). He said that following the various arrangements that have been reached with a number of countries, the ministry would help entrepreneurs by imparting information and assisting them with securing markets for their products. The Minister further pointed out that the country was already in the process of exploiting the mining sector. He said, "instead of shipping our raw materials abroad, we'll have companies producing goods from minerals which shall be exported as a complete product".

(a) Explain what is meant by GDP.

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 [2]

(b) Describe **two** benefits to Pholaland of exploiting the mining sector.

(i)

(ii)

 [4]

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[6]

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- This image shows a full page of white paper with horizontal dotted lines, typical of primary school writing paper. The lines are evenly spaced and run across the width of the page. There are no margins, text, or other markings on the paper.

2 CHANGES IN THE TAX STRUCTURE

In 2025, Sushiland had a new tax structure as part of its economic reform. The new tax system involved a reduction of direct taxes and an increase in indirect taxes on goods and services to 20%. As a result, income tax was cut. At the same time there was an increase in social benefits. This change was meant to achieve one of Government aims of redistribution of income and wealth. Consumer groups expressed concern about this change, however, some were in favour of this change as they believed it would raise the level of the country's efficiency and welfare. The new tax covered services which were previously not taxed, there was also a reduction in company tax. Those who were against the new tax system feared that this change would cause a sharp increase in inflation and a rise in the price for imported oil.

(a) Define inflation.

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..... [2]

(b) In what section of Sushiland's Balance of Payment will imported oil be recorded?

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..... [1]

(c) The extract suggests that one of Government's aim is redistribution of income and wealth. Explain what is meant by this aim.

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..... [2]

(d) Give **two** examples of direct taxes from the extract.

(i)

(ii) [2]

(e) Distinguish between direct and indirect tax.

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..... [5]

[illegible]